

Baron Hotham observed, that "lending on personal credit for the purpose of gaining a larger interest was a species of *gaming*" (*e*); and Lord Kenyon said, that "no rule was better established than that a trustee could not lend on mere personal security, and it ought to be *rung in the ears* of every one who acted in the character of trustee" (*f*). And it will not alter the case that the money is lent on the *joint* security of *several* obligors (*g*), or to a person to whom the testator himself had been in the habit of advancing money on personal security (*h*).

3. **Investment on stock of private company.**—A trustee may not invest the trust fund in the *stock of any private company*, as *South Sea stock, &c.*, for the capital depends upon the management of the governors and directors, and is subject to losses. The *South Sea Company*, for instance, might trade away their whole capital, provided they kept within the terms of their *charter (*a*). Nor [*307] until the Act to be presently mentioned (*b*) could a trustee invest in Bank stock (*c*). "Bank stock," said Lord Eldon, "is as safe, I trust and believe, as any Government security, but it is not Government security, and therefore this Court does not lay out or leave property in Bank stock; and what this Court will decree, it expects from trustees and executors" (*d*). But if a trustee or executor has by *mistake* invested in Bank stock instead of Bank Annuities, he is not liable for the actual loss in sterling value, but only for the excess of the loss beyond that which would have

(*e*) *Adye v. Feuilliteau*, 1 Cox, 25.

(*f*) *Holmes v. Dring*, 2 Cox, 1.

(*g*) *Ib.*

(*h*) *Styles v. Guy*, 1 Mac. & G. 423.

(*a*) *Trafford v. Boehm*, 3 Atk. 440; see 444. *Mills v. Mills*, 7 Sim. 501; *Adie v. Fennilteau*, cited *Hancom v. Allen*, 2 Dick. 499, note; *Emelie v. Emelie*, 7 B. P. C. 259. The reporter speaks in the last case of *South Sea Annuities*; but no doubt the investment had been made in *South Sea stock*. In *Trafford v. Boehm* the investment had been in *South Sea stock*,

but the reporter cites the case by a similar mistake as one of investment in *South Sea Annuities*. For the difference between the two see *Trafford v. Boehm*, 3 Atk. 444. *Adie v. Fennilteau*, or, more correctly, *Feuilliteau*, has been examined in the Registrar's Book, but the point does not appear.

(*b*) 22 & 23 Vict. c. 35, s. 32.

(*c*) *Hynes v. Redington*, 1 Jones & Lat. 589; 7 Ir. Eq. Rep. 405.

(*d*) *Howe v. Earl of Dartmouth*, 7 Ves. 150.